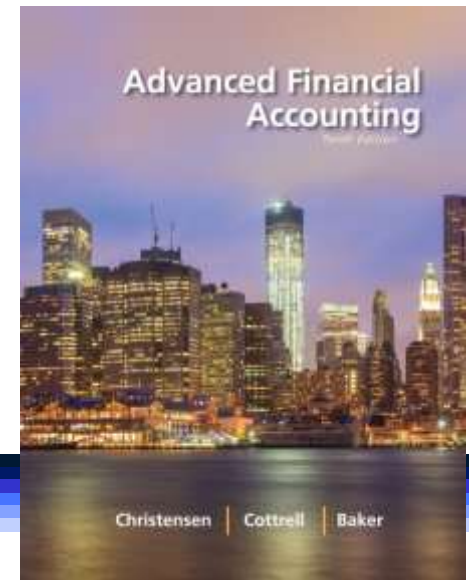


Chapter 5



Consolidation of Less-than-Wholly-Owned Subsidiaries Acquired at More than Book Value



Learning Objective 5-1

Understand and explain how the consolidation process differs when the subsidiary is less-than-wholly owned and there is a differential.



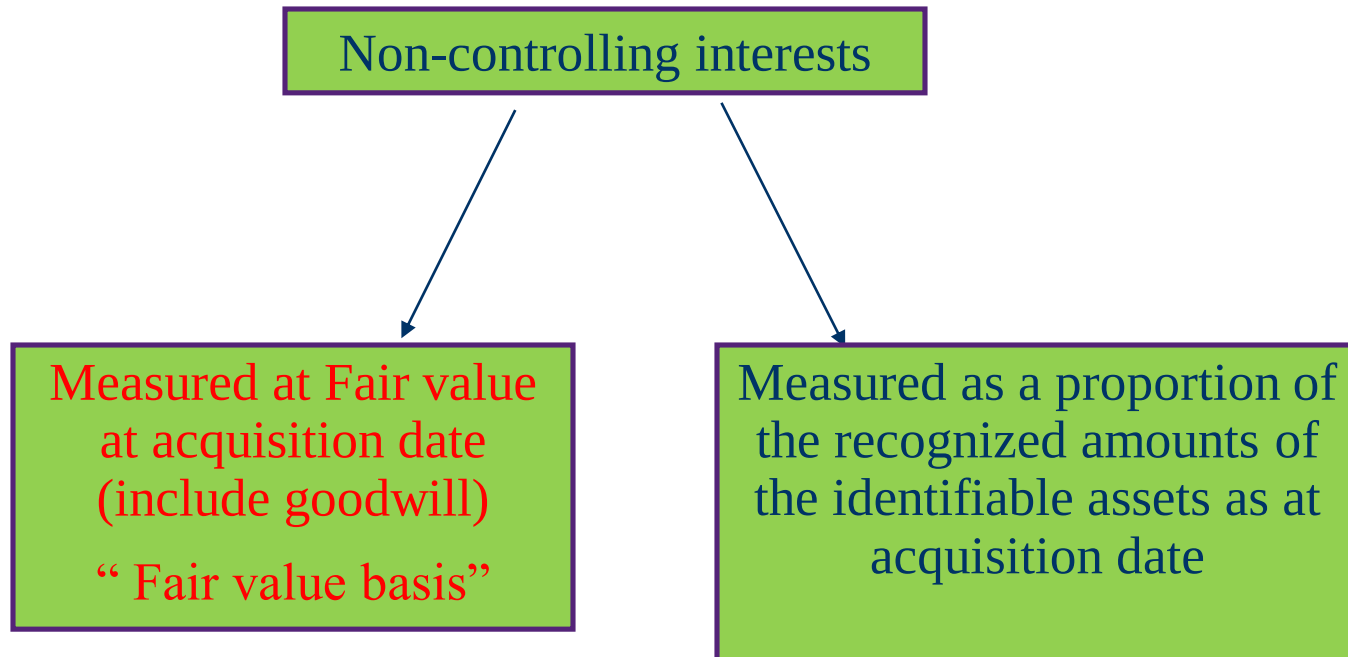
Differences in Consolidation in Chapter 5

	Wholly Owned Subsidiary	Partially Owned Subsidiary	
Investment = Book Value	Chapter 2	Chapter 3	No Differential
Investment > Book Value	Chapter 4	Chapter 5	Differential
	No NCI Shareholders	NCI Shareholders	



Noncontrolling Interest

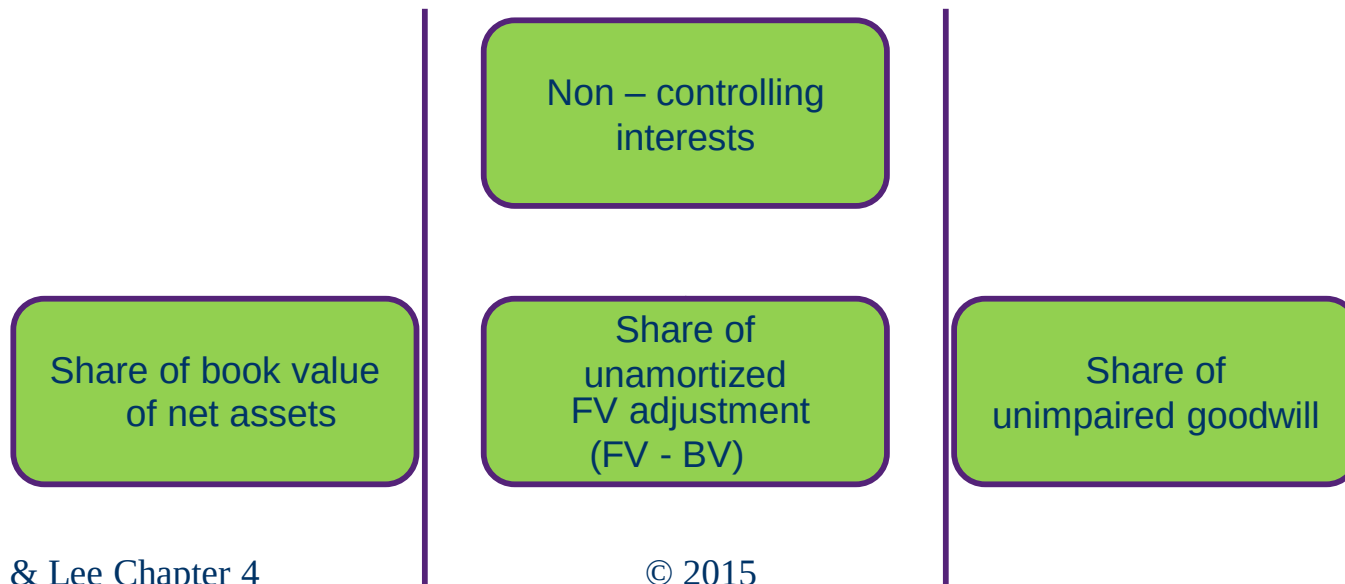
PSAK 22 par 19 (IFRS 3) allows NCI to be measured in either of two ways





Noncontrolling Interest

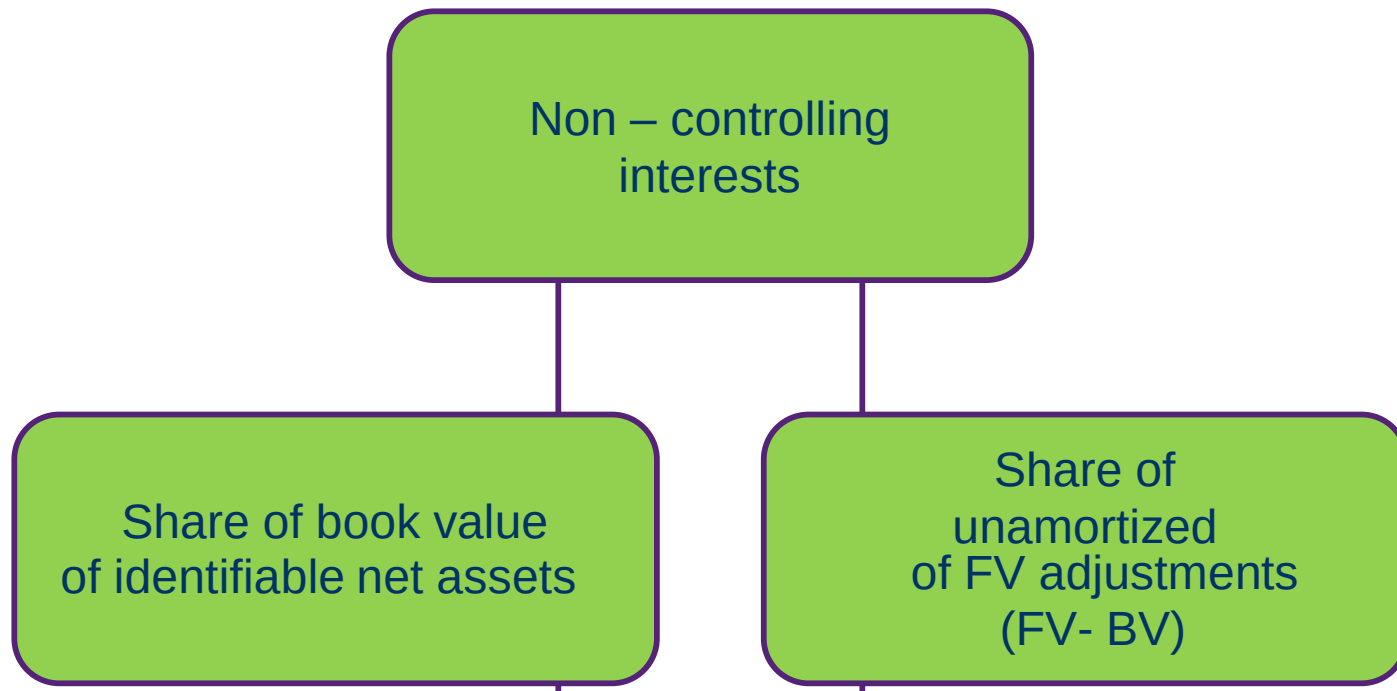
- Under the fair value basis:
 - FV is determined by either the active market prices of subsidiary's equity share at acquisition date or other valuation techniques
 - FV per share of NCI may differ from parent because of control premium paid by parent (e.g. 20% premium over market price to gain control)
 - NCI comprises of 3 items:





Noncontrolling Interest

- Under the 2nd option:
 - NCI is a proportion of the acquiree's identifiable net assets (i.e. not full fair value)
 - NCI comprises of 2 items:





Noncontrolling Interest

	NCI measured at FV	NCI measured as a proportion of the acquiree's identifiable net assets
Book value of net assets		
Fair value – Book value of net assets		
Goodwill		

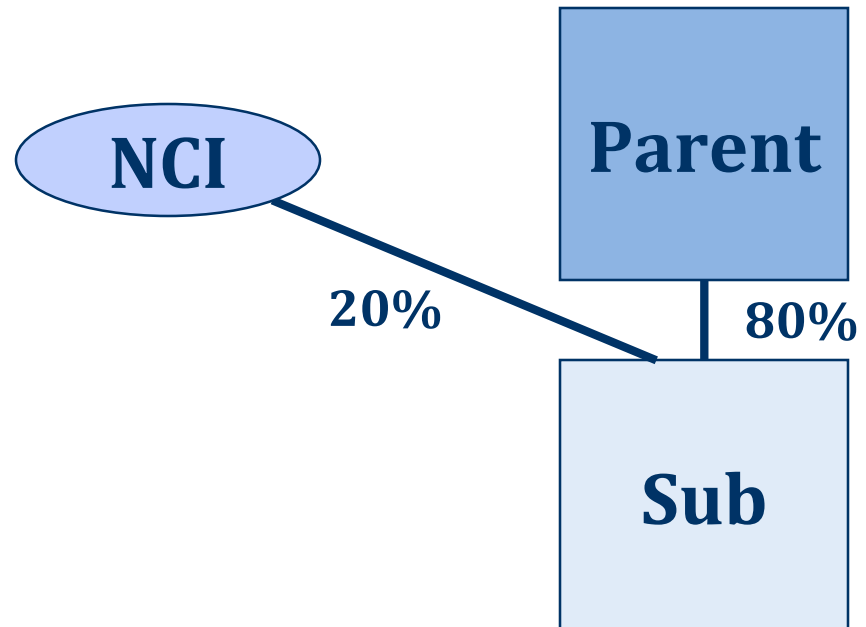


Partial Ownership Example

Assume Parent owns land with a book value of \$400,000. Parent's 80%-owned subsidiary also owns land. At the time of the acquisition, Sub's land has a FMV of \$100,000 and a book value of \$61,000. Thus, the land has excess value of \$39,000.

Issue

Should Parent revalue the land by the full \$39,000 in consolidation or only its share of the excess value (\$31,200)?





Partial Ownerships: Partial or Full Valuation?

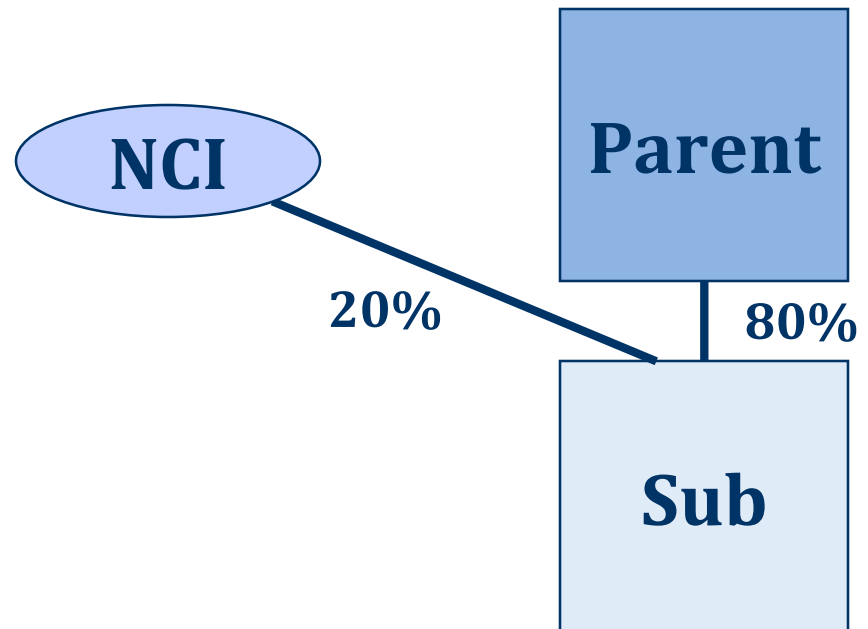
- ◆ We learned earlier that *full consolidation* is required, as opposed to partial consolidation.
 - Thus, we consolidate 100% of the sub.
 - This, however, refers to the BV of the subsidiary.
- ◆ What about revaluation of assets to FMV?
 - The extent of revaluation of undervalued *assets* and *goodwill* can vary.
 - **Parent Company Concept:** *Partial* valuation
 - **Entity Concept:** *Full* valuation



Partial Ownership Example

	Parent Company Concept				Entity Concept	
	<u>Parent</u>	<u>Sub</u>		<u>DR</u>	<u>CR</u>	<u>Consolidated</u>
Land	\$400,000	\$61,000	→	\$31,200		\$492,200
	<u>Parent</u>	<u>Sub</u>		<u>DR</u>	<u>CR</u>	<u>Consolidated</u>
Land	\$400,000	\$61,000	→	\$39,000		\$500,000

- ◆ Both were used in the past.
- ◆ ASC 805 requires the Entity Concept.





Partial Ownership: Undervalued Assets & GW

- ◆ How much to revalue the Subsidiary's undervalued assets and goodwill?
 - Parent company concept: $< 100\%$ of FMV
 - Revalued only to the extent of the parent's percent ownership
 - Entity concept: 100% of FMV
 - The offsetting credit for the additional valuation increases the NCI in net assets



Practice Quiz Question #1

Knox Corp. purchased 60% of Conway Corp. ownership on Jan 1, 20X7 for \$277,500. Conway reported net income of \$45,000 and paid dividends of \$25,000 in 20X7.

On Jan 1, 20X7, Conway had \$250,000 of \$5 par value common stock outstanding and retained earnings of \$150,000 and the fair value of NCI was \$185,000.

Conway held land with a BV of \$22,500 and a MV of \$30,000 and equipment with a BV of \$320,000 and a MV of \$360,000 at the date of combination. The remainder of the differential at acquisition was attributable to an increase in the value of patents which had a remaining useful life of 10 years. All depreciable assets held by Conway at the date of acquisition had a remaining economic life of 8 years

1. Compute the increase in the fair value of patents



Practice Quiz Question #1

2. Prepare elimination entries at Jan 1, 20X7

Book Value Calculations:

		Conway's Equity Accounts, B\$		+	
NCI's 40% Share of BV	Knox's 60% Share of BV	Common Stock	Retained Earnings		

Balances, 1/1/X7

The Basic Elimination Entry:

Common Stock
Retained Earnings
Investment in Salt
NCI in NA in Salt



Practice Quiz Question #1

2. Prepare elimination entries at Jan 1, 20X7

Book Value Calculations:

Conway's Equity Accounts, BV					+
NCI's 40% Share of BV	Knox's 60% Share of BV	Common Stock	Retained Earnings		
Balances, 1/1/X7	160,000	240,000	250,000	150,000	

The Basic Elimination Entry:

Common Stock	250,000		
Retained Earnings	150,000		
Investment in Salt		240,000	
NCI in NA in Salt		160,000	



Practice Quiz Question #1

Excess Value Calculations:

NCI's 40% Share of Excess Value Patent	Knox's 60% Share of Excess Value	=	Conway's Under- or (Over-) Valuation of Net Assets	
			Land	Equipment

Balances, 1/1/X7

The Excess Value Reclassification Entry:

Land	
Equipment	
Patent	
	Inventory
	Investment in Sub
	NCI in NA of Sub



Practice Quiz Question #1

Excess Value Calculations:

NCI's 40% Share of Excess Value Patent	Knox's 60% Share of Excess Value	Conway's Under- or (Over-) Valuation of Net Assets =	Land	Equipment
---	--	---	------	-----------

Balances, 1/1/X7	25,000	37,500	7,500	40,000	15,000
------------------	--------	--------	-------	--------	--------

The Excess Value Reclassification Entry on Jan 1, 20X7:

Land	7,500
Equipment	40,000
Patent	15,000
Investment in Sub	37,500
NCI in NA of Sub	25,000



Example: Equity Method Journal Entries

1. To record 60% share of Sub's reported income:

Investment in Salt	27,000	
	Income from Salt	27,000

2. To record 60% of Sub's dividends declared:

Cash	15,000	
	Investment in Salt	15,000

Amortization of differential assigned to:

Equipment $(\$40,000 / 8) \times .60 = \$3,000$

Patents $(\$15,000 / 10) \times .60 = \900

3. To record additional expenses (based on FMV):

Income from Sub	3,900	
	Investment in Sub	3,900



Practice Quiz Question #1:End of First Year

Book Value Calculations:

NCI's	Knox's	Conway's Equity Accounts, BV			
40% Share		60% Share	Common	Retained	+
of BV	of BV	Stock	Earnings		
Balances, 1/1/X7					
Add: NI from Salt					
Less Dividends					
Balances, 12/31/X7					

The Basic Elimination Entry:

Common Stock
 Retained Earnings, 1/1/X7
 Income from Salt
 NCI in NI of Salt
 Dividends Declared
 Investment in Salt
 NCI in NA of Salt



Practice Quiz Question #1:End of First Year

Book Value Calculations:

NCI's 40% Share of BV	Knox's of BV	Conway's Equity Accounts, BV		
		60% Share Stock	Earnings	Common Retained +
Balances, 1/1/X7	160,000	240,000	250,000	150,000
Add: NI from Salt	18,000	27,000		45,000
Less Dividends	(10,000)	(15,000)		(25,000)
Balances, 12/31/X7		168,000	252,000	

The Basic Elimination Entry:

Common Stock	250,000	
Retained Earnings, 1/1/X7		150,000
Income from Salt	27,000	
NCI in NI of Salt	18,000	
Dividends Declared		25,000
Investment in Salt		252,000
NCI in NA of Salt	168,000	



Practice Quiz Question #1:End of First Year

Excess Value Calculations:

NCI's 40% Share of Remaining Life 10 years	Knox's 60% Share of Excess Value	=	Sub's Under- or (Over-) Valuation of Net Assets Element			
			Land Excess Value	Equipment Acc Dep	Patent Indefinite	8 years
Balances, 1/1/X7						
Less: Amortization						
Balances, 12/31/X7						

The Excess Value Reclassification Entry:

Land
Equipment
Patent

Accumulated Depreciation

Investment in Sub
NCI in NA of Sub

The Amortized Excess Value

Depreciation Expense
S&A Expense

Income from Sub
NCI in NI of Sub



Practice Quiz Question #1:End of First Year

Excess Value Calculations:

NCI's 40% Share of <i>Remaining Life</i> 10 years	Knox's 60% Share of Excess Value	Sub's Under- or (Over-) Valuation of Net Assets Element				
		=	Land Excess Value	Equipment Acc Dep	Patent <i>Indefinite</i>	8 years
Balances, 1/1/X7	25,000	37,500	7,500	40,000		15,000
Less: Amortization	(2,600)	(3,900)	0	(5,000)		(1,500)
Balances, 12/31/X7	22,400	33,600	7,500	35,000	5,000	13,500

The Excess Value Reclassification Entry:

Land	7,500
Equipment	40,000
Patent	13,500
Accumulated Depreciation	5,000
Investment in Salt	
33,600	
NCI in NA of Salt	
22,400	

The Amortized Excess Value

Depreciation Expense	5,000
S&A Expense	1,500
Income from Sub	
3,900	
NCI in NI of Sub	
2,600	



Learning Objective 5-2

Make calculations and prepare elimination entries for the consolidation of a partially owned subsidiary when there is a complex positive differential.



Group Exercise 1: 80% Acquisition

Pepper Inc., a calendar-year reporting company, acquired 80% of Salt Inc.'s outstanding common stock for \$354,000 on 12/31/X8 when the fair value of Salt's net assets was \$422,500. The following data summarize the fair value calculation:

Book value element		<u>Life remaining</u>
Common Stock	\$130,000	
Retained Earnings	117,000	
Under- or Over-valuation		
Inventory	(6,500)	2 months
Land	39,000	Indefinite
Equipment	85,000	10 years
Covenant-not-to-compete	52,000	4 years
<i>Goodwill element</i>	<u>26,000</u>	Indefinite
Total Cost	\$442,500	



Group Exercise 1: 80% Acquisition

1. Prepare an analysis of the Investment account through 12/31/X8.
1. Prepare all consolidation entries as of 12/31/X8.
1. Prepare a consolidation worksheet at 12/31/X8.
1. What amount of income does Pepper report for 20X8?

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X8					
			Elimination Entries		Consolidated
	Pepper	Salt	DR	CR	
Balance Sheet					
Cash	127,000	26,000			
Accounts Receivable	97,500	91,000			
Inventory	136,500	104,000			
Investment in Salt:					
Book Value	197,600				
Excess Cost	156,400				
Land	130,000	91,000			
Building & Equipment	325,000	265,200			
Acc Depreciation	(195,000)	(57,200)			
Covenant N-T-C					
Goodwill					
Total Assets	975,000	520,000			
Payables & Accruals	104,000	78,000			
Long-term Debt	26,000	195,000			
Common Stock	390,000	130,000			
Retained Earnings	455,000	117,000			
NCI in NA of Salt					
Total Liab & Equity	975,000	520,000			



Group Exercise 1: *Solution*

Book Value Calculations:

Salt's Equity Accounts, BV				
NCI's 20% Share of BV	Pepper's 80% Share of BV	Common Stock	Retained Earnings	
				+

Balances, 12/31/X8

The Basic Elimination Entry:

Common Stock
Retained Earnings
Investment in Salt
NCI in NA in Salt



Group Exercise 1: *Solution Worksheet Entries*

Book Value Calculations:

Salt's Equity Accounts, BV				
NCI's 20% Share of BV	Pepper's 80% Share of BV	Common Stock	Retained Stock	Earnings
				+
Balances, 12/31/X8	49,400	197,600	130,000	117,000

The Basic Elimination Entry:

Common Stock
Retained Earnings
Investment in Salt
NCI in NA in Salt



Group Exercise 1: *Solution Worksheet Entries*

Book Value Calculations:

Salt's Equity Accounts, BV					
NCI's 20% Share of BV	Pepper's 80% Share of BV	Common Stock	Retained Earnings	+	
Balances, 12/31/X8	49,400	97,600	13	117,000	

The Basic Elimination Entry:

Common Stock
Retained Earnings
Investment in Salt
NCI in NA in Salt



Group Exercise 1: *Solution Worksheet Entries*

Book Value Calculations:

Salt's Equity Accounts, BV					
NCI's 20% Share of BV	Pepper's 80% Share of BV	Common Stock	Retained Earnings	+	
Balances, 12/31/X8	49,400	97,600	117,000		

The Basic Elimination Entry:

Common Stock	130,000	
Retained Earnings	117,000	
Investment in Salt		197,600
NCI in NA in Salt	49,400	



Group Exercise 1: *Solution Worksheet Entries*

Excess Value Calculations:

$$\begin{array}{rcl}
 \text{NCI's 20\% Share of Excess Value} & \text{Pepper's 80\% Share of Excess Value} & \text{Salt's Under- or (Over-) Valuation of Net Assets} \\
 & & = \frac{\text{Inventory} \quad \text{Land} \quad \text{Equipment}}{\text{Covenant Goodwill}}
 \end{array}$$

Balances, 12/31/X8

The Excess Value Reclassification Entry:

Land
 Building & Equipment
 Covenant N-T-C
 Goodwill
 Inventory
 Investment in Salt
 NCI in NA of Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
 Building & Equipment



Group Exercise 1: *Solution Worksheet Entries*

Excess Value Calculations:

NCI's 20% Share of Excess Value Covenant	Pepper's 80% Share of Excess Value Goodwill	Salt's Under- or (Over-) Valuation of Net Assets = <u>Inventory</u> <u>Land</u> <u>Equipment</u>
---	--	---

Balances, 12/31/X8	39,100	156,400	(6,500)	39,000	85,000	52,000	26,000
--------------------	--------	---------	---------	--------	--------	--------	--------

The Excess Value Reclassification Entry:

Land
Building & Equipment
Covenant N-T-C
Goodwill

Inventory
Investment in Salt
NCI in NA of Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 1: *Solution Worksheet Entries*

Excess Value Calculations:

NCI's 20% Share of Excess Value Covenant		Pepper's 80% Share of Excess Value Goodwill	Salt's Under- or (Over-) Valuation of Net Assets				
			=	Inventory	Land	Equipment	
Balances, 12/31/X8	39,100	156,400	(6,500)	39,000	85,000	52,000	26,000

The Excess Value Reclassification Entry:

Land
 Building & Equipment
 Covenant N-T-C
 Goodwill
 Inventory
 Investment in Salt
 NCI in NA of Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
 Building & Equipment



Group Exercise 1: *Solution Worksheet Entries*

Excess Value Calculations:

NCI's 20% Share of Excess Value Covenant Goodwill		Pepper's 80% Share of Excess Value	Salt's Under- or (Over-) Valuation of Net Assets				
			=	Inventory	Land	Equipment	
Balances, 12/31/X8	39,100	156,400	(6,500)	39,000	85,000	52,000	26,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Covenant N-T-C	52,000
Goodwill	26,000
Inventory	6,500
Investment in Salt	156,400
NCI in NA of Salt	39,100

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 1: *Solution Worksheet Entries*

Excess Value Calculations:

NCI's 20% Share of Excess Value Covenant		Pepper's 80% Share of Excess Value Goodwill	Salt's Under- or (Over-) Valuation of Net Assets				
			=	Inventory	Land	Equipment	
Balances, 12/31/X8	39,100	156,400	(6,500)	39,000	85,000	52,000	26,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Covenant N-T-C	52,000
Goodwill	26,000
Investment in Salt	156,400
NCI in NA of Salt	39,100

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation	57,200
Building & Equipment	57,200



Group Exercise 1: *Completed Worksheet*

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X8					
			Elimination Entries		Consolidated
	Pepper	Salt	DR	CR	
Balance Sheet					
Cash	127,000	26,000			
Accounts Receivable	97,500	91,000			
Inventory	136,500	104,000		6,500	
Investment in Salt:					
Book Value	197,600			197,600	
Excess Cost	156,400			156,400	
Land	130,000	91,000	39,000		
Building & Equipment	325,000	265,200	85,000	57,200	
Acc Depreciation	(195,000)	(57,200)	57,200		
Covenant N-T-C			52,000		
Goodwill			26,000		
Total Assets	975,000	520,000	259,200	417,700	
Payables & Accruals	104,000	78,000			
Long-term Debt	26,000	195,000			
Common Stock	390,000	130,000	130,000		
Retained Earnings	455,000	117,000	117,000		
NCI in NA of Salt				49,400	
				39,100	
Total Liab & Equity	975,000	520,000	247,000	88,500	



Group Exercise 1: *Completed Worksheet*

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X8					
			Elimination Entries		Consoli-
	Pepper	Salt	DR	CR	dated
Balance Sheet					
Cash	127,000	26,000			153,000
Accounts Receivable	97,500	91,000			188,500
Inventory	136,500	104,000		6,500	234,000
Investment in Salt:					
Book Value	197,600			197,600	
Excess Cost	156,400			156,400	
Land	130,000	91,000	39,000		260,000
Building & Equipment	325,000	265,200	85,000	57,200	618,000
Acc Depreciation	(195,000)	(57,200)	57,200		(195,000)
Covenant N-T-C			52,000		52,000
Goodwill			26,000		26,000
Total Assets	975,000	520,000	259,200	417,700	1,336,500
Payables & Accruals	104,000	78,000			182,000
Long-term Debt	26,000	195,000			221,000
Common Stock	390,000	130,000	130,000		390,000
Retained Earnings	455,000	117,000	117,000		455,000
NCI in NA of Salt				49,400	88,500
				39,100	
Total Liab & Equity	975,000	520,000	247,000	88,500	1,336,500



How Do the Elimination Entries Change?

1. The basic elimination entry:

	Common Stock (S) XXX	
	Additional Paid-in Capital (S) XXX	
	Retained Earnings, Beginning Balance (S) XXX	
{	Income from Sub % NI	
	NCI in NI of Sub % NI	
	Dividends Declared XXX	
{	Investment in Sub % BV	
	NCI in NA of Sub % BV	

1. The excess value reclassification entry:

	Asset 1 XXX	
	Asset 2 XXX	
	Goodwill XXX	
{	Investment in Sub % Excess	
	NCI in NA of Sub % Excess	



How Do the Elimination Entries Change?

3. *The amortized excess value reclassification entry:*

{	Cost of Sales	XXX	
	Other Expenses	XXX	
	Income from Sub		% Adj.
	NCI in NI of Sub		% Adj.

This entry reclassifies the equity method amortization of cost in excess of book from Income from Sub to the appropriate expense accounts where the costs would have been had the Sub used FMV instead of BV.

4. *The accumulated depreciation elimination entry:*

{	Accumulated Depreciation	XXX	
	Building & Equipment		XXX

↓
Acquisition
Date



Group Exercise 2: 80% End of First Year

Continuation of Exercise 1

1. Update the analysis of the Investment account through 12/31/X9.
1. Prepare the consolidation entries as of 12/31/X9.
3. Prepare a consolidation worksheet at 12/31/X9.

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
	Pepper	Salt	Elimination Entries		Consolidated
			DR	CR	
Income Statement					
Sales	1,235,000	780,000			
Cost of Sales	(598,000)	(370,500)			
Depreciation Expense	(78,000)	(19,500)			
S&A Expense	(481,000)	(312,000)			
Income from Salt	50,400				
Net Income	128,400	78,000			
NCI in Net Income					
CI in Net Income	128,400	78,000			
Statement of Retained Earnings					
Balance, 1/1/X9	455,000	117,000			
Add: Net Income	128,400	78,000			
Less: Dividends	(104,000)	(45,500)			
Balance, 12/31/X9	479,400	149,500			
Balance Sheet					
Cash	156,900	32,500			
Accounts Receivable	123,500	78,000			
Inventory	149,500	156,000			
Investment in Salt:					
Book Value	223,600				
Excess Cost	144,400				
Land	130,000	91,000			
Building & Equipment	325,000	291,200			
Acc Depreciation	(273,000)	(76,700)			
Covenant N-T-C					
Goodwill					
Total Assets	979,900	572,000			
Payables & Accruals	84,500	97,500			
Long-term Debt	26,000	195,000			
Common Stock	390,000	130,000			
Retained Earnings	479,400	149,500			
NCI in Net Assets					
Total Liab & Equity	979,900	572,000			



Group Exercise 2: 80% End of First Year

Book Value Calculations:

NCI's 20% Share of BV	Pepper's of BV	Salt's Equity Accounts, BV 80% Share Stock	Common Earnings	Retained	+
Balances, 1/1/X9					
Add: NI from Salt					
Less Dividends					
Balances, 12/31/X9					

The Basic Elimination Entry:

Common Stock
 Retained Earnings, 1/1/X9
 Income from Salt
 NCI in NI of Salt
 Dividends Declared
 Investment in Salt
 NCI in NA of Salt



Group Exercise 2: 80% End of First Year

Book Value Calculations:

NCI's 20% Share of BV	Pepper's of BV	Salt's Equity Accounts, BV			Common Retained	+
		80% Share Stock	Earnings			
Balances, 1/1/X9	49,400	197,600	130,000	117,000		
Add: NI from Salt	15,600	62,400		78,000		
Less Dividends	(9,100)	(36,400)		(45,500)		
Balances, 12/31/X9		55,900	223,600	130,000	149,500	

The Basic Elimination Entry:

Common Stock
 Retained Earnings, 1/1/X9
 Income from Salt
 NCI in NI of Salt
 Dividends Declared
 Investment in Salt
 NCI in NA of Salt



Group Exercise 2: 80% End of First Year

Book Value Calculations:

	NCI's 20% Share of BV	Pepper's of BV	Salt's Equity Accounts, BV 80% Share Stock	Earnings	Common	Retained	+
Balances, 1/1/X9		49,400	197,600	130,000			
Add: NI from Salt		00	62,4		000		
Less Dividends		(9,100)	(36,400)				
Balances, 12/31/X9			55,90	23,600	13		

The Basic Elimination Entry:

Common Stock
 Retained Earnings, 1/1/X9
 Income from Salt
 NCI in NI of Salt
 Dividends Declared
 Investment in Salt
 NCI in NA of Salt



Group Exercise 2: 80% End of First Year

Book Value Calculations:

	NCI's 20% Share of BV	Pepper's of BV	Salt's Equity Accounts, BV 80% Share Stock	Common Earnings	Retained	+
Balances, 1/1/X9		49,400	197,600	130,000		
Add: NI from Salt		00	62,4	000		
Less Dividends		(9,100)	(36,400)			
Balances, 12/31/X9			55,90	23,600	13	

The Basic Elimination Entry:

Common Stock	130,000	
Retained Earnings, 1/1/X9	117,000	
Income from Salt	62,400	
NCI in NI of Salt	15,600	
Dividends Declared		45,500
Investment in Salt		223,600
NCI in NA of Salt		55,900



Group Exercise 2: 80% End of First Year

Excess Value Calculations:

NCI's 20% Share of Remaining Life 4 years	Pepper's 80% Share of Excess Value	Inventory	Salt's Under- or (Over-) Valuation of Net Assets Element				
			Land Excess Value	Equipment	Acc Dep 2 months	Covenant Indefinite	Goodwill 10 years
Balances, 1/1/X9							
Less: Amortization							
Balances, 12/31/X9							

The Excess Value Reclassification Entry:

Land
Building & Equipment
Covenant N-T-C
Goodwill
Accumulated Depreciation
Investment in Salt
NCI in NA of Salt

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt
NCI in NI of Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 2: 80% End of First Year

Excess Value Calculations:

NCI's 20% Share of <i>Remaining Life</i> 4 years	Pepper's 80% Share of Excess Value	Inventory	Salt's Under- or (Over-) Valuation of Net Assets Element				
			Land Excess Value	Equipment	Acc Dep 2 months	Covenant Indefinite	Goodwill 10 years
Balances, 1/1/X9 26,000	39,100	156,400	(6,500)	39,000	85,000		52,000
Less: Amortization	(3,000)	(12,000)	6,500	0		(8,500)	(13,000)
Balances, 12/31/X9 <i>The Excess Value</i> 26,000	36,100	144,400	0	39,000	85,000	(8,500)	39,000

The Excess Value Reclassification Entry:

Land
Building & Equipment
Covenant N-T-C
Goodwill
Accumulated Depreciation
Investment in Salt
NCI in NA of Salt

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt
NCI in NI of Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 2: 80% End of First Year

Excess Value Calculations:

NCI's 20% Share of <i>Remaining Life</i> 4 years	Pepper's 80% Share of Excess Value	Inventory	Salt's Under- or (Over-) Valuation of Net Assets Element				
			Land Excess Value	Equipment	Acc Dep 2 months	Covenant Indefinite	Goodwill 10 years
Balances, 1/1/X9 26,000	39,100	156,400	(6,500)	39,000	85,000		52,000
Less: Amortization	(3,000)	(12,000)	6,500	0		(8,500)	(13,000)
Balances, 12/31/X9 <i>The Excess Value</i> 26,000	36,100	144,400	0	39,000	85,000	(8,500)	39,000

The Excess Value Reclassification Entry:

Land
Building & Equipment
Covenant N-T-C
Goodwill
Accumulated Depreciation
Investment in Salt
NCI in NA of Salt

The Amortized Excess Value

Depreciation Expense
S&A Expense
Cost of Sales
Income from Salt
NCI in NI of Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
Building & Equipment



Group Exercise 2: 80% End of First Year

Excess Value Calculations:

NCI's 20% Share of <i>Remaining Life</i> 4 years	Pepper's 80% Share of Excess Value	Inventory	Salt's Under- or (Over-) Valuation of Net Assets Element				
			Land Excess Value	Equipment	Acc Dep 2 months	Covenant Indefinite	Goodwill 10 years
Balances, 1/1/X9 26,000	39,100	156,400	(6,500)	39,000	85,000		52,000
Less: Amortization	(3,000)	(12,000)	6,500	0		(8,500)	(13,000)
Balances, 12/31/X9 <i>The Excess Value</i> 26,000	36,100	144,400	0	39,000	85,000	(8,500)	39,000

The Excess Value Reclassification Entry:

The Amortized Excess Value

Depreciation Expense

S&A Expense

Cost of Sales

Income from Salt

NCI in NI of Salt

The Accumulated Depreciation

Elimination Entry:

Accumulated Depreciation

Building & Equipment

Land 39,000
Building & Equipment 85,000
Covenant N-T-C 39,000
Goodwill 26,000
Accumulated Depreciation 8,500
Investment in Salt 144,400
NCI in NA of Salt 36,100



Group Exercise 2: 80% End of First Year

Excess Value Calculations:

NCI's 20% Share of <i>Remaining Life</i> 4 years	Pepper's 80% Share of Excess Value	Inventory	Salt's Under- or (Over-) Valuation of Net Assets Element				
			Land Excess Value	Equipment	Acc Dep 2 months	Covenant Indefinite	Goodwill 10 years
Balances, 1/1/X9	39,100	156,400	(6,500)	39,000	85,000		52,000
26,000							
Less: Amortization	(3,000)	(12,000)	6,500	0		(8,500)	(13,000)
Balances, 12/31/X9	36,100	144,400	0	39,000	85,000	(8,500)	39,000
26,000							

The Excess Value Reclassification Entry:

The Amortized Excess Value

Land 39,000
 Building & Equipment 85,000
 Covenant N-T-C 39,000
 Goodwill 26,000
 Accumulated Depreciation 8,500
 Investment in Salt 144,400
 NCI in NA of Salt 36,100

Depreciation Expense
 S&A Expense
 Cost of Sales
 Income from Salt
 NCI in NI of Salt

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation
 Building & Equipment



Group Exercise 2: 80% End of First Year

Excess Value Calculations:

NCI's 20% Share of <i>Remaining Life</i> 4 years	Pepper's 80% Share of Excess Value	Inventory	Salt's Under- or (Over-) Valuation of Net Assets Element				
			Land Excess Value	Equipment	Acc Dep 2 months	Covenant Indefinite	Goodwill 10 years
Balances, 1/1/X9	39,100	156,400	(6,500)	39,000	85,000		52,000
26,000							
Less: Amortization	(3,000)	(12,000)	6,500	0		(8,500)	(13,000)
Balances, 12/31/X9	36,100	144,400	0	39,000	85,000	(8,500)	39,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Covenant N-T-C	39,000
Goodwill	26,000
Accumulated Depreciation	8,500
Investment in Salt	144,400
NCI in NA of Salt	36,100

The Amortized Excess Value

Depreciation Expense	8,500
S&A Expense	13,000
Cost of Sales	6,500
Income from Salt	12,000

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation	8,500
Building & Equipment	8,500



Group Exercise 2: 80% End of First Year

Excess Value Calculations:

NCI's 20% Share of <i>Remaining Life</i> 4 years	Pepper's 80% Share of Excess Value	Inventory	Salt's Under- or (Over-) Valuation of Net Assets Element				
			Land Excess Value	Equipment	Acc Dep 2 months	Covenant Indefinite	Goodwill 10 years
Balances, 1/1/X9	39,100	156,400	(6,500)	39,000	85,000		52,000
26,000							
Less: Amortization	(3,000)	(12,000)	6,500	0		(8,500)	(13,000)
Balances, 12/31/X9	36,100	144,400	0	39,000	85,000	(8,500)	39,000

The Excess Value Reclassification Entry:

Land	39,000
Building & Equipment	85,000
Covenant N-T-C	39,000
Goodwill	26,000
Accumulated Depreciation	8,500
Investment in Salt	144,400
NCI in NA of Salt	36,100

The Amortized Excess Value

Depreciation Expense	8,500
S&A Expense	13,000
Cost of Sales	6,500
Income from Salt	12,000

The Accumulated Depreciation Elimination Entry:

Accumulated Depreciation	57,200
Building & Equipment	57,200



Group Exercise 2: 80% End of First Year

Beginning Balance:

Goodwill = 20,800
Identifiable Excess = 135,600
Book value = 197,600

Investment in Salt

BB	354,000		
80%			
NI	62,400	36,400	80% Dividend
		12,000	Excess Amort.
EB	368,000		80%

Ending Balance:

Goodwill = 20,800
Identifiable Excess = 123,600
Book value = 223,600



Group Exercise 3: *Solution*

Notice how the worksheet entries “eliminate” Pepper’s equity method accounts:

Investment in Salt		Income from Salt	
BB	354,000		
80% NI	62,400		62,400 80% NI
	36,400 80% Dividend		
	12,000 Excess Amort.	12,000	
EB	368,000		50,400 Adj. Balance
	223,600 Basic	62,400	
	144,400 Excess Reclass		12,000 Excess Amort.
	0		0



Group Exercise 2: 80% End of First Year

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
	Pepper	Salt	Elimination Entries		Consolidated
			DR	CR	
Income Statement					
Sales	1,235,000	780,000			
Cost of Sales	(598,000)	(370,500)			
Depreciation Expense	(78,000)	(19,500)			
S&A Expense	(481,000)	(312,000)			
Income from Salt	50,400				
Net Income	128,400	78,000			
NCI in Net Income					
CI in Net Income	128,400	78,000			
Statement of Retained Earnings					
Balance, 1/1/X9	455,000	117,000			
Add: Net Income	128,400	78,000			
Less: Dividends	(104,000)	(45,500)			
Balance, 12/31/X9	479,400	149,500			
Balance Sheet					
Cash	156,900	32,500			
Accounts Receivable	123,500	78,000			
Inventory	149,500	156,000			
Investment in Salt:					
Book Value	223,600				
Excess Cost	144,400				
Land	130,000	91,000			
Building & Equipment	325,000	291,200			
Acc Depreciation	(273,000)	(76,700)			
Covenant N-T-C					
Goodwill					
Total Assets	979,900	572,000			
Payables & Accruals	84,500	97,500			
Long-term Debt	26,000	195,000			
Common Stock	390,000	130,000			
Retained Earnings	479,400	149,500			
NCI in Net Assets					
Total Liab & Equity	979,900	572,000			



Group Exercise 2: 80% End of First Year

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
			Elimination Entries		Consoli- dated
	Pepper	Salt	DR	CR	
Income Statement					
Sales	1,235,000	780,000			2,015,000
Cost of Sales	(598,000)	(370,500)		6,500	(962,000)
Depreciation Expense	(78,000)	(19,500)	8,500		(106,000)
S&A Expense	(481,000)	(312,000)	13,000		(806,000)
Income from Salt	50,400		62,400	12,000	
Net Income	128,400	78,000	83,900	18,500	141,000
NCI in Net Income			15,600	3,000	(12,600)
CI in Net Income	128,400	78,000	99,500	21,500	128,400



Group Exercise 2: 80% End of First Year

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
	Pepper	Salt	Elimination Entries		Consolidated
			DR	CR	
Income Statement					
Sales	1,235,000	780,000			
Cost of Sales	(598,000)	(370,500)		6,500	
Depreciation Expense	(78,000)	(19,500)	8,500		
S&A Expense	(481,000)	(312,000)	13,000		
Income from Salt	50,400		62,400	12,000	
Net Income	128,400	78,000	83,900	18,500	
NCI in Net Income			15,600	3,000	
CI in Net Income	128,400	78,000	99,500	21,500	
Statement of Retained Earnings					
Balance, 1/1/X9	455,000	117,000	117,000		
Add: Net Income	128,400	78,000	99,500	21,500	
Less: Dividends	(104,000)	(45,500)		45,500	
Balance, 12/31/X9	479,400	149,500	216,500	67,000	
Balance Sheet					
Cash	156,900	32,500			
Accounts Receivable	123,500	78,000			
Inventory	149,500	156,000			
Investment in Salt:					
Book Value	223,600			223,600	
Excess Cost	144,400			144,400	
Land	130,000	91,000	39,000		
Building & Equipment	325,000	291,200	85,000	57,200	
Acc Depreciation	(273,000)	(76,700)	57,200	8,500	
Covenant N-T-C			39,000		
Goodwill			26,000		
Total Assets	979,900	572,000	246,200	433,700	
Payables & Accruals	84,500	97,500			
Long-term Debt	26,000	195,000			
Common Stock	390,000	130,000	130,000		
Retained Earnings	479,400	149,500	216,500	67,000	
NCI in Net Assets				55,900	
				36,100	
Total Liab & Equity	979,900	572,000	346,500		



Group Exercise 2: 80% End of First Year

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
	Pepper	Salt	Elimination Entries		Consolidated
			DR	CR	
Income Statement					
Sales	1,235,000	780,000			2,015,000
Cost of Sales	(598,000)	(370,500)		6,500	(962,000)
Depreciation Expense	(78,000)	(19,500)	8,500		(106,000)
S&A Expense	(481,000)	(312,000)	13,000		(806,000)
Income from Salt	50,400		62,400	12,000	
Net Income	128,400	78,000	83,900	18,500	141,000
NCI in Net Income			15,600	3,000	(12,600)
CI in Net Income	128,400	78,000	99,500	21,500	128,400
Statement of Retained Earnings					
Balance, 1/1/X9	455,000	117,000	117,000		455,000
Add: Net Income	128,400	78,000	99,500	21,500	128,400
Less: Dividends	(104,000)	(45,500)		45,500	(140,000)
Balance, 12/31/X9	479,400	149,500	216,500	67,000	479,400
Balance Sheet					
Cash	156,900	32,500			189,400
Accounts Receivable	123,500	78,000			201,500
Inventory	149,500	156,000			305,500
Investment in Salt:					
Book Value	223,600			223,600	
Excess Cost	144,400			144,400	
Land	130,000	91,000	39,000		260,000
Building & Equipment	325,000	291,200	85,000	57,200	644,000
Acc Depreciation	(273,000)	(76,700)	57,200	8,500	(301,000)
Covenant N-T-C			39,000		39,000
Goodwill			26,000		26,000
Total Assets	979,900	572,000	246,200	433,700	1,364,400
Payables & Accruals	84,500	97,500			182,000
Long-term Debt	26,000	195,000			221,000
Common Stock	390,000	130,000	130,000		390,000
Retained Earnings	479,400	149,500	216,500	67,000	479,400
NCI in Net Assets				55,900	92,000
				36,100	
Total Liab & Equity	979,900	572,000	346,500		1,364,400



Learning Objective 5-3

Understand and explain what happens when a parent company ceases to consolidate a subsidiary.



Discontinuance of Consolidation

- ◆ A parent should stop consolidating a subsidiary if it can no longer exercise control.
- ◆ Two possible scenarios:
 - The parent loses control of a subsidiary and no longer holds an equity interest.
 - The parent loses control but still holds an equity interest.



Parent No Longer Holds an Equity Interest

- ◆ If a parent loses control of a subsidiary and no longer holds an equity interest in the former subsidiary,
 - Parent recognizes a gain or loss for the difference between
 - any proceeds received from the event leading to loss of control, and
 - the carrying amount of the parent's equity interest.



Example: Parent No Longer Holds an Equity Interest

Assume that on December 31, 20X9, Pepper's Investment in Salt account has a balance of \$368,000. Also assume that Pepper's 80% interest in Salt has a fair value of \$410,000. On January 1, 20X0, Pepper sells all of its Salt shares for \$400,000. How should Pepper account for this transaction?

Sale proceeds \$400,000

Less: Carrying value of the investment (368,000)

Gain on sale \$32,000

Cash	400,000	
Investment in Salt		368,000
Gain on sale	32,000	



Parent Maintains an Equity Interest

- ◆ If the parent loses control but maintains a noncontrolling equity interest in the former subsidiary,
 - Parent must recognize a gain or loss for the difference, at the date control is lost, between:
 - the sum of any proceeds received by the parent and the fair value of its remaining equity interest in the former subsidiary, and
 - the carrying amount of the parent's total interest in the subsidiary.



Example: Parent Maintains an Equity Interest

Assume that on December 31, 20X9, Pepper's Investment in Salt account has a balance of \$368,000. Also assume that Pepper's 80% interest in Salt has a fair value of \$410,000. On January 1, 20X0, Pepper sells half (remaining 40%) of Salt's shares for \$200,000. How should Pepper account for this transaction?

Sale proceeds	\$200,000	
Plus: Fair value of remaining investment	205,000	
	\$405,000	
Less: Entire carrying value of investment	(368,000)	
Gain on Sale	\$37,000	

Cash	200,000	
	Investment in Salt	163,000
Sale	37,000	Gain on

Investment in Salt	
368,000	
	163,000
205,000	

Remaining
interest
revalued at
fair value



Practice Quiz Question #s 3-4 Solutions

Paul Corp. Owns 90% of Sam Inc.'s outstanding common stock. The carrying value of the investment in Sam is \$170,000, and the fair value of this investment is \$250,000. Paul sells half of its Sam Inc. shares for \$130,000.

Sale proceeds	\$130,000	
Plus: Fair value of remaining investment	125,000	
	\$255,000	
Less: Entire carrying value of investment	(170,000)	
Gain on Sale	\$85,000	

Cash	130,000		
	Investment in Sam	45,000	Gain on
Sale	85,000		

Investment in Sam	
170,000	
	45,000
125,000	

Remaining
interest
revalued at
fair value



Learning Objective 5-4

Make calculations and prepare elimination entries for the consolidation of a partially owned subsidiary when there is a complex positive differential and other comprehensive income.



Treatment of Other Comprehensive Income

- ◆ **ASC 220-10-55** requires that companies separately report other comprehensive income.
 - Includes revenues, expenses, gains, and losses that under GAAP are excluded from net income.
 - Other comprehensive income accounts are temporary accounts that are closed at the end of each period to a special stockholders' equity account, Accumulated Other Comprehensive Income.
 - The consolidation worksheet normally includes an additional section at the bottom for other comprehensive income.



Group Exercise 3: 80% with OCI

Assume that during 20X9, Salt purchases \$10,000 of investments classified as available-for-sale. By December 31, 20X9, the fair value of the securities increases to \$30,000. Other than the effects of accounting for Salt's investment in securities, the financial information reported at December 31, 20X9, is identical to that presented in the previous examples.

Adjusting entry recorded by Salt:

Investment in Available-for-Sale Securities	20,000
Unrealized Gain on Investments (OCI)	
20,000	

Adjusting entry recorded by Pepper:

Investment in Salt	16,000
Other Comprehensive Income from Salt—	
Unrealized Gain on Investments (OCI)	
16,000	



Group Exercise 3: 80% with OCI

Other comprehensive income entry:

OCI from Salt	16,000	
OCI to NCI	4,000	
Investment in Salt		16,000
NCI in NA of Salt	4,000	



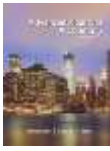
Group Exercise 2: 80% End of First Year

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
	Pepper	Salt	Elimination Entries		Consolidated
			DR	CR	
Balance Sheet					
Cash	156,900	22,500			
Accounts Receivable	123,500	78,000			
Inventory	149,500	156,000			
Investment in AFS Securities		30,000			
Investment in Salt:					
Book Value	239,600				
Excess Cost	144,400				
Land	130,000	91,000			
Building & Equipment	325,000	291,200			
Acc Depreciation	(273,000)	(76,700)			
Covenant N-T-C					
Goodwill					
Total Assets	995,900	592,000			
Payables & Accruals	84,500	97,500			
Long-term Debt	26,000	195,000			
Common Stock	390,000	130,000			
Retained Earnings	479,400	149,500			
Accumulated OCI, 12/31/X9	16,000	20,000			
NCI in NA of Salt					
Total Liab & Equity	995,900	592,000			
Other Comprehensive Income					
Accumulated OCI, 1/1/X9	0	0			
OCI from Salt	16,000				
Unrealized Gain on Investments		20,000			
Other Comprehensive Income to NCI					
Accumulated OCI, 12/31/X9	16,000	20,000			



Group Exercise 2: 80% End of First Year

Pepper, Inc. and Salt, Inc. Consolidated Worksheet as of December 31, 20X9					
	Pepper	Salt	Elimination Entries		Consolidated
			DR	CR	
Balance Sheet					
Cash	156,900	22,500			179,400
Accounts Receivable	123,500	78,000			201,500
Inventory	149,500	156,000			305,500
Investment in AFS Securities		30,000			30,000
Investment in Salt:					
Book Value	239,600			223,600	
Excess Cost	144,400			144,400	
				16,000	
Land	130,000	91,000	39,000		260,000
Building & Equipment	325,000	291,200	85,000	57,200	644,000
Acc Depreciation	(273,000)	(76,700)	57,200	8,500	(301,000)
Covenant N-T-C			39,000		39,000
Goodwill			26,000		26,000
Total Assets	995,900	592,000	246,200	449,700	1,384,400
Payables & Accruals	84,500	97,500			182,000
Long-term Debt	26,000	195,000			221,000
Common Stock	390,000	130,000	130,000		390,000
Retained Earnings	479,400	149,500	216,500	67,000	479,400
Accumulated OCI, 12/31/X9	16,000	20,000	20,000	0	16,000
NCI in NA of Salt				55,900	96,000
				36,100	
				4,000	
Total Liab & Equity	995,900	592,000	366,500	159,000	1,384,400
Other Comprehensive Income					
Accumulated OCI, 1/1/X9	0	0			0
OCI from Salt	16,000		16,000		0
Unrealized Gain on Investments		20,000			20,000
Other Comprehensive Income to NCI			4,000		(4,000)
Accumulated OCI, 12/31/X9	16,000	20,000	20,000	0	16,000



Appendix 5A

Additional Consolidation Details



Additional Considerations

◆ Subsidiary valuation accounts at acquisition

- **ASC 805-20-30** indicates that all assets and liabilities acquired in a business combination should be valued at their acquisition-date fair values and no valuation accounts are to be carried over.
- Its application in consolidation following a stock acquisition is less clear.



Additional Considerations—Deficit in RE

◆ Negative retained earnings of subsidiary at acquisition

- A parent company may acquire a subsidiary with a negative in its retained earnings account.
- The basic elimination entry will have a credit rather than a debit to Retained Earnings.



Additional Considerations—Deficit in RE

The basic elimination entry:

Common Stock (S)	XXX	
Additional Paid-in Capital (S)	XXX	
Income from Sub	% NI	
NCI in NI of Sub	% NI	
Retained Earnings, Beginning Balance (S)		XXX
Dividends Declared	XXX	
Investment in Sub		% BV
NCI in NA of Sub	% BV	



Additional Considerations

◆ Other stockholders' equity accounts

- In general, all stockholders' equity accounts accruing to the common shareholders receive the same treatment as common stock and are eliminated at the time common stock is eliminated.



Additional Considerations

◆ Subsidiary's disposal of differential-related assets

- Both the parent's equity-method income and consolidated net income are affected.
- **Parent's books:** The portion of the differential included in the subsidiary investment account that relates to the asset sold must be written off by the parent under the equity method as a reduction in both the income from the subsidiary and the investment account.
- In consolidation, the portion of the differential related to the asset sold is treated as an adjustment to consolidated income.



Additional Considerations

◆ Inventory

- Any inventory-related differential is assigned to inventory for as long as the subsidiary holds the units.
- In the period in which the inventory units are sold, the inventory-related differential is assigned to Cost of Goods Sold.
- The inventory costing method used by the subsidiary determines the period in which the differential cost of goods sold is recognized.
 - **FIFO:** The inventory units on hand on the date of combination are viewed as being the first units sold after the combination .
 - **LIFO:** The inventory units on the date of combination are viewed as remaining in the subsidiary's inventory.



Additional Considerations

◆ Fixed Assets

- A differential related to land held by a subsidiary is added to the Land balance in the consolidation workpaper each time a consolidated balance sheet is prepared.
 - If the subsidiary sells the land to which the differential relates, the differential is treated in the consolidation workpaper as an adjustment to the gain or loss on the sale of the land in the period of the sale.
- The sale of differential-related equipment is treated in the same manner as land except that the amortization for the current and previous periods must be considered.



The End